Unit 3 formulas

Thursday, 15 May 2025 09:32

Unit 3 formulas

Unit 3 formulas.d…

Unit 3 formulas

Revenue = Price per item sold x quantity of items sold

Percentage change over a period of time = (New figure – original figure) / original x 100

Average cost = TC / Output

Total Costs = Fixed Cost + Variable Costs

Profit = Total Revenue – Total Costs

Profit = Total contribution – Fixed costs

Contribution = Selling price – Variable costs

Breakeven point = Fixed costs / (Selling price – Variable costs)

Margin of safety = Output level – Break even point

Gross profit = Sales – Cost of sales

Operating profit = Gross profit – operating expenses

Profit for the year (net profit) = Operating profit – finance costs

Gross profit margin = (Gross profit / revenue) x 100

Operating profit margin = (Operating profit / revenue) x 100

Profit for year margin = (profit for year / revenue) x 100

Current ratio = Current Assets / Current Liabilities

Acid Test = (Current Assets – Stock) / Current liabilities

Gearing Ratio = [Non-Current liabilities / (Total equity +non-current liabilities)] x 100

ROCE = [Operating profit / Capital Employed] X100

Capacity Utilisation (%) = Actual output (per period of time) / Maximum possible output (per period of time) x 100

Moving Average = Add up the total for the average required /number of years

Labour productivity = [Output per period (units) / Number of employees at work]

Absenteeism Formula = [Number of staff absent during period / Number employed during period] x 100

Investment appraisal

Payback period = [Income required (in payback year) / Contribution per month]

ARR = [Total net average Return (income – cost/no of years) / Initial cost of invest] x 100

NPV = [Cashflow x discount factor] = Present value
Add up all present value for each year – cost = NPV

Decision tree
Chance Node (EV) - Probability x Value of decision
EV of node = Add up all EV's
Decision Node (Decision) = EV – Cost (highest value is your decision)

Critical Path Analysis
Total Float = LFT – Duration – EST